

Before the
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-16

SAMSUNG ELECTRONICS AMERICA, INC.

v.

COSCO SHIPPING LINES CO., LTD

RESPONDENT’S VERIFIED ANSWER TO THE AMENDED COMPLAINT

Respondent COSCO Shipping Lines Co., Ltd. (“COSCO” or “Respondent”)¹ hereby answers the Verified Amended Complaint of Samsung Electronics America, Inc. (“SEA” or “Complainant”) served on April 25, 2025. This Answer includes a counterclaim against SEA.

RESPONSES TO NUMBERED ALLEGATIONS

1. Complainant SEA is a corporation organized and existing under the laws of the State of New York, with a principal place of business at 85 Challenger Road, Ridgefield Park, New Jersey, 07660-2118.

¹ As used herein, the terms “COSCO” and “Respondent” mean only Respondent COSCO Shipping Lines Co., Ltd. and do not include COSCO Shipping Lines (North America), Inc. (“CSLNA”). The Amended Complaint uses the term COSCO in a confusing manner that could be read to include CSLNA, but CSLNA is not an ocean common carrier and is not a respondent in this proceeding.

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny the allegations of Paragraph 1.

2. Respondent COSCO SHIPPING Lines Co., Ltd. is a global ocean carrier with its corporate office at No. 378, Dong Da Ming Road, Shanghai, China, conducting business in the U.S. under COSCO SHIPPING (North America) Inc., with its principal corporate office at 100 Lighting Way, 3rd Floor, Secaucus, New Jersey 07094 (“COSCO” or “Respondent”). COSCO is a vessel-operating “ocean common carrier” as that term is defined by 46 U.S.C. § 40102(7) and (18) and is subject to regulation by the Federal Maritime Commission (the “FMC” or “Commission”).

ANSWER: Respondent admits the allegations of Paragraph 2 that Respondent is an “ocean common carrier” as defined by the Shipping Act and FMC regulations and that it is subject to regulation by the FMC, that it has a corporate headquarters at the address listed and that CSLNA has an office at the listed address. Respondent otherwise denies the remaining allegations in Paragraph 2.

3. The FMC has subject-matter jurisdiction over this Amended Complaint pursuant to the Shipping Act.

ANSWER: The allegations of Paragraph 3 constitute a legal conclusion, to which no answer is required. To the extent that an answer is required, Respondent denies the allegations in Paragraph 3.

4. This Amended Complaint is being filed pursuant to 46 U.S.C. § 41301. SEA is seeking a cease and desist order and reparations for injuries caused to it by Respondent due to its violations of the Shipping Act.

ANSWER: Respondent admits that Complainant purports to bring this action pursuant to 46 U.S.C. § 41301 and seeks the relief stated but denies the remaining allegations in Paragraph 4.

5. The FMC has personal jurisdiction over COSCO as a “common carrier” and a vessel-operating “ocean common carrier” as defined in 46 U.S.C. § 40102(7) and (18).

ANSWER: Admitted (with the caveat that COSCO does not include CLSNA).

6. Respondent’s actions alleged herein constitute failures to establish, observe, and enforce just and reasonable practices related to receiving, handling, storing, and delivering the property of SEA, in violation of 46 U.S.C. § 41102(c) (unreasonable practices); 46 U.S.C. §§ 41104(a)(3) and 41102(d) (retaliation); 46 U.S.C. § 41104(a)(10) (refusal to

deal); 46 U.S.C. § 41104(a)(15) (non-compliant invoicing); and 46 U.S.C. § 41104(a)(14) (unreasonable charges).

ANSWER: Respondent denies each of the allegations in Paragraph 6 and notes that the Presiding Officer has already dismissed Complainant's claims under 46 U.S.C. § 41104(a)(3) and § 41102(d), and its claims under 46 U.S.C. § 41104(a)(10).

7. SEA, a pioneering electronic products company incorporated in the United States in 1978, offers home appliances, phones, tablets, smartwatches, mobile accessories, mobile audio, televisions, monitors, and computer products to the American public.

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny Paragraph 7.

8. The American public relies on SEA goods for its everyday personal and business needs.

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny Paragraph 8.

9. SEA provides its consumer goods to the American public online through Samsung.com, through retailers like Best Buy, The Home Depot, and Lowe's, and through distributors.

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny Paragraph 9.

10. In order to meet the needs of the American public, SEA has relied on transportation companies like COSCO to carry its goods to inland destinations throughout the United States.

ANSWER: Respondent denies the allegation of Paragraph 10 that the cargo COSCO carries for other Samsung entities are SEA's goods. Respondent otherwise lacks knowledge or information sufficient to admit or deny Paragraph 10.

11. Part of the appeal of working with an experienced transportation company like COSCO is its offering of a full range of services, from arrangements overseas to the final destination at SEA distribution centers and customers inland, otherwise known as inland transportation or "store door" delivery. Under store door terms, the ocean carrier issues a bill of lading or sea waybill indicating the marine port at which a container is discharged and an inland "place of delivery" to which the ocean carrier undertakes to transport the container after the container is discharged from the vessel at the port.

ANSWER: Respondent denies the allegations of Paragraph 11 regarding the meaning of "store door terms." Respondent otherwise lacks knowledge or information sufficient to admit or deny Paragraph 11.

12. COSCO markets its full range of services to companies like SEA in personal meetings, at conferences, and publicly on its website.

ANSWER: Respondent admits that it markets its services to potential customers in a variety of ways but otherwise denies Paragraph 12.

13. Regarding its inland transportation services, COSCO states on its website that “[a]s the main container service provider worldwide, COSCO Shipping Lines helps [customers] explore more business opportunities with its container fleet, railway and trucking teams working 24/7 across the world. To deliver [customers’] cargo to the right place at the right time is the goal of our ‘door to door’ supply-chain solution.”

ANSWER: Respondent denies Complainant’s characterization of COSCO’s website in Paragraph 13 and refers to the COSCO website itself for its content.

14. COSCO also states in public-facing materials that it provides “end-to-end solutions”, including multi-modal transportation options.

ANSWER: COSCO lacks knowledge or information sufficient to admit or deny Paragraph 14 without identification of the specific materials being referenced.

15. COSCO markets its ability to arrange and coordinate multiple inland transportation providers as part of its store door services: “[f]ollowing the steps of ‘on[e] belt one road’, COSCO Shipping Lines puts all ports and inland economies involved into its service planning, and establishes railway, trucking service teams, along with its container fleet, to fully coordinate our resources of port, storage yard and [sic] warehouse.”

ANSWER: Respondent denies Complainant’s characterization of COSCO’s marketing in Paragraph 13. Respondent otherwise lacks sufficient knowledge or information to admit or deny Paragraph 15 without identification of the specific material(s) being referenced.

16. COSCO explains that with regard to its inland delivery services: “COSCO Shipping Lines has always been committed to optimizing the transportation route between places of origin and consumers, elimination [of] obstacles during transportation. Our expert team keeps track of each shipment to make it possible for customers to get real-time information about their cargoes. One click on our website, one tap on our App, your cargo status will be available.”

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny the allegations of Paragraph 16 without identification of the specific material(s) being referenced.

17. As set forth in more detail below, SEA relied on COSCO for store door transportation of goods to the U.S. in ocean shipping containers but COSCO fell far short of its responsibilities and obligations.

ANSWER: Respondent denies the allegations of Paragraph 17.

18. Beginning in approximately 2020, COSCO began repeatedly failing to maintain just and reasonable practices in connection with its obligations for inland transportation to the inland destinations.

ANSWER: Respondent denies the allegations of Paragraph 18 and notes that Paragraph 18 in the Amended Complaint was amended by Complainant without seeking leave from, or being granted leave by, the Presiding Officer to do so.

19. Aware of challenges with intermodal transportation logistics, COSCO continued to transport SEA goods on store door terms under through bills of lading or sea waybills for inland delivery in the U.S., and continued to repeatedly fail to maintain just and reasonable practices in connection with its inland transportation obligations, exposing SEA to unreasonable costs, charges, delays, and other harms.

ANSWER: Respondent denies the allegations of Paragraph 19 and notes that Paragraph 18 in the Amended Complaint was amended by Complainant without seeking leave from, or being granted leave by, the Presiding Officer to do so.

20. As a result of COSCO's unreasonable practices, SEA has been forced to pay excessive and unlawful charges assessed by COSCO—known as “demurrage and detention” charges—and has been forced to undertake and perform the ocean carrier's inland transportation responsibilities in order to continue to import its products sold to American consumers.

ANSWER: Respondent denies the allegations of Paragraph 20.

21. SEA is apparently not alone in facing this exploitative behavior. Demurrage and detention charges and practices have risen so exponentially high that the Biden Administration highlighted the concern in a press release and fact sheet on February 28, 2022, titled “Lowering Prices and Leveling the Playing Field in Ocean Shipping.”

ANSWER: Respondent denies the allegations of Paragraph 21, except admits that a press release and fact sheet were issued on February 28, 2022, and refers to the press release and fact sheet for their content.

22. On March 1, 2022, President Biden highlighted escalating freight and demurrage and detention costs in his State of the Union address, noting that prices were raised “by as much as 1,000% ...” and as such, the President Biden announced “a crackdown” on practices that result in “overcharging American businesses and consumers.”

ANSWER: Respondent denies the allegations of Paragraph 22, except admits that a State of the Union address was given by President Biden on March 1, 2022, and refers to the address for its content.

23. Separately, the FMC has long raised concerns with a host of unjust and unreasonable demurrage and detention practices, and the FMC is advancing efforts to promote complaints and adjudicate wrongdoing, as the full scope of the unlawful practices concerning demurrage and detention in the last few years becomes known.

ANSWER: Respondent denies the allegations of Paragraph 23.

24. In 2023, FMC chairman Dan Maffei is reported to have expressed significant concerns about unlawful practices, particularly in regard to cargo holds and credit holds exacerbating charges against shippers. In a March 8, 2023 article by Tomer Raanan in Lloyd's List, addressing the issue at the Journal of Commerce's recent TPM Conference, reporter Raanan observed:

“[m]any shippers complained that carriers levied these charges on them without providing any information related to them and left them with little ability to dispute them. Some have also complained that ocean carriers refused to give them their cargo unless they paid the charges, essentially holding the cargo hostage. ‘The whole detention and demurrage system is very complicated. I think it took a long time for it to get to a situation where in my view, it wasn’t performing its central aspect of keeping cargo moving,’ [FMC chairman Dan] Maffei said. ‘When it is used to pad the rates without looking like it’s padding the rates, then it becomes a distortion of the market.’”

ANSWER: Respondent denies the allegations of Paragraph 24, except for the allegation that the identified article was published on the day and in the journal specified and refers to the article for its content. Respondent notes that Paragraph 24 in the Amended Complaint was amended by Complainant without seeking or being granted leave to do so.

25. With the benefit of additional considerations at the FMC since the comments reported in Lloyd's List, above, Chairman Maffei has continued to acknowledge the shortfalls of ocean carriers. In a recent supply chain podcast, in regard to the FMC's responsibility to carefully consider the evidence proffered as to demurrage and detention charges during the pandemic, Chairman Maffei noted “[d]etention and demurrage, until we adjudicate it we don’t [sic] whether it was fair or unfair, reasonable or unreasonable. Certainly during the pandemic I’m comfortable saying a lot of those charges were unreasonable and maybe more than normal because there were several reasons why the ocean shippers simply couldn’t get it. We talk about the Incentive Principle -- a charge is reasonable if it can incentivize picking up that container or not...”

ANSWER: Respondent denies the allegations of Paragraph 25 and refers to the podcast to which Paragraph 25 refers for its content.

26. When asked whether the ocean carriers used demurrage and detention charges as revenue centers during the pandemic, he stated, “[t]here were certainly complaints and I think there were sufficient evidence that there was abuse let me just sort of say that. I don’t

think it's my job to judge motive or any of that kind of stuff. Companies are under pressure to make money for their shareholders. And it's up to us to make sure that everybody you know follows the rules so that nobody can get away with something."

ANSWER: Respondent denies the allegations of Paragraph 26 and refers to the podcast to which Paragraph 26 refers for its content.

27. And as Chairman Maffei recently observed on the supply chain podcast, ocean carriers like COSCO should have been very concerned about changing its behavior when on notice by the FMC of wrongdoing to avoid enforcement actions or those filed by private parties as here. "This isn't a game of gotcha. It's a game of trying to make sure that everybody plays by the same rules and that if you're given a yellow card you change your behavior so you're not given a red card. We're not interested in putting people out of business if we do that then competition is less and that's worse for the shippers and consumers because prices go up so we want to send the right message but we want a healthy industry."

ANSWER: Respondent denies the allegations of Paragraph 27 and refers to the podcast to which Paragraph 27 refers for its content.

28. The observations as to changing ocean carrier behavior is apt in regard to COSCO because COSCO is no stranger to Shipping Act claims, as well as the FMC's recent actions to hold ocean carriers accountable for unreasonable demurrage and detention practices. During the pandemic, COSCO was named as a respondent in the first major pandemic supply chain Shipping Act dispute, MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd. and MSC Mediterranean Shipping Company SA (Docket No. 21-05) (2021), where MCS alleged that COSCO committed blatant Shipping Act violations involving refusal to deal, profiteering, and collusive behavior.

ANSWER: Respondent denies the allegations of Paragraph 28.

29. In the first FMC filing of 2024, a \$1-2 million Shipping Act complaint was filed by Visual Comfort & Co., a Houston-based lighting store, against COSCO. Visual Comfort & Co. v. COSCO Shipping Lines Co. Ltd. (Docket No. 24-01) (2024). Visual Comfort alleges violations of 46 U.S.C. §§ 41102(c) and 41104(a)(10) and 46 C.F.R. § 545.5 regarding a failure to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering property; and an unreasonable refusal to deal or negotiate. Visual Comfort alleges these violations arose from the assessment of demurrage, detention, per diem, and yard storage charges during periods of time in which the charges were not just or reasonable because of circumstances outside the control of the complainant and its agents and service providers, and because of acts or omissions of COSCO.

ANSWER: Respondent denies the allegations of Paragraph 29 except refers to the cited complaint for its content.

30. In particular, the Visual Comfort complaint states that COSCO “did not act with sufficient urgency to clear empty containers and redirect traffic to less congested ports” and that “drivers who could not access the terminals to drop an empty and pick up an import had no way to prove how many time they had attempted to pick up the container unsuccessfully,” pointing out that despite pandemic conditions, the exacerbation of these issues falls squarely on the ocean carriers like COSCO for their specific unjust and unreasonable practices. Compl. ¶¶ 19-28. SEA has suffered from similar conduct, and also seeks relief under 46 U.S.C. § 41102(c).

ANSWER: Respondent denies the allegations of Paragraph 30 except refers to the cited complaint for its content.

31. On February 14, 2024, COSCO was sued yet again for Shipping Act violations arising from its detention and demurrage practices. In Impact Products, LLC and Safety Zone, LLC v. COSCO Shipping Lines Co. Ltd. (Docket No. 24-09) (2024), the complainants allege that

“COSCO failed to provide adequate practices and facilities to handle and store COSCO’s empty containers and also failed to provide adequate facilities for its customers, including Supply Source, to return empty containers.” Impact Products Compl. ¶ 20. The Impact Products complaint notes that between 2021 and 2022, complainant “shipped 1,577 unique containers using COSCO,” and “[o]f those containers, COSCO assessed Supply Source with demurrage on 244 containers, detention charges on 15 containers, per diem charges on 73 containers, and yard storage charges on 312 containers.” Id. ¶ 11. The total demurrage, detention, per diem, and yard storage charges total \$1,656,492.00. Id.

ANSWER: Respondent denies the allegations of Paragraph 31 except refers to the cited complaint for its content.

32. The legality of COSCO’s detention and demurrage practices was called into question yet again on March 1, 2024 in Access One Transport, Inc. v. COSCO Shipping Lines Co. Ltd. (Docket No. 24-13) (2024). There, a drayage carrier claims that COSCO charged detention even when return appointments for COSCO containers were unavailable: “COSCO has charged detention in an unreasonable, arbitrary and capricious manner. To illustrate: 1) COSCO would issue daily empty return availability; 2) if any locations were identified for empty returns COSCO charged detention if the empty container was out beyond free time; 3) ACCESS ONE used its best efforts to determine if appointments were actually available for the returns; 4) if appointments were available ACCESS ONE would return empties to the extent it reasonably could; 5) COSCO charged ACCESS ONE detention for any empty container not returned during freetime regardless of the

lack of any appointments to do so. Thus, COSCO would still charge daily detention per container even if the empty, in reality, could not be returned through the actions of COSCO or its designated terminals.” Access One Compl. ¶ 25.

ANSWER: Respondent denies the allegations of Paragraph 32 except refers to the cited complaint for its content.

33. As explained in further detail below, SEA has dealt with and continues to face manifestly unjust and unreasonable charges and practices in connection with inland transportation arrangements that are the responsibility of COSCO under its store door shipments. Like the complainants in the multiple FMC actions filed against COSCO, SEA suffered from COSCO’s unreasonable detention and demurrage practices. Moreover, the consistency in the allegations across the complaints highlights that COSCO’s conduct with respect to detention and demurrage charges was part of a broader unreasonable practice and policy.

ANSWER: Respondent denies the allegations of Paragraph 33.

34. Notwithstanding that COSCO is responsible for the inland transportation to the named place of delivery on the sea waybill under store door terms, COSCO has forced SEA to pay demurrage and detention charges that were not the responsibility of SEA by holding containers hostage and threatening to cut off further services.

ANSWER: Respondent denies the allegations of Paragraph 34.

35. This is a particular concern with COSCO with respect to rail demurrage, which comprises a substantial amount of the total demurrage charges. COSCO is legally responsible under store door terms as the common carrier for the cargo delivery to the inland destination by all multi-modal methods.

ANSWER: Respondent denies the allegations of Paragraph 35.

36. COSCO cannot claim that rail demurrage charges were unexpected, that it was unaware, or that they were out of its control. The issues COSCO faced with inland transportation, such as chassis shortages, terminal congestion and similar issues during the pandemic, were not isolated events; they were systemic, ongoing, and well-known conditions. These issues were known at the time COSCO made the vast majority of the bookings and arrangements with non-party rail interests and equipment providers.

ANSWER: Respondent denies the allegations of Paragraph 36.

37. SEA is entitled to seek reparations for rail storage charges even if COSCO did not directly assess the charges or receive the payments. What matters is that SEA was forced to pay these charges assessed by COSCO’s subcontractors, agents, or otherwise on COSCO’s behalf when COSCO was responsible for the inland transportation.

ANSWER: The allegations of Paragraph 37 constitute a legal conclusion, to which no answer is required. To the extent that an answer is required, COSCO denies the allegations of Paragraph 37.

38. Rail terminal demurrage and/or rail storage charges assessed on COSCO's shipments were substantial, with over 5,000 demurrage charges in total, a substantial amount of which were for rail storage.

ANSWER: COSCO denies that these were "COSCO's shipments" and lacks knowledge or information sufficient to admit or deny whether rail charges imposed by railroads under the ICC Termination Act and other laws and regulations governing rail carriers, as well as the rail carriers' own tariffs/circulars were substantial or over 5,000 in number.

39. The staggering costs of demurrage and detention charges are unsustainable, present a material threat to SEA's ability to provide its products to American consumers, and have made it necessary to bring this Amended Complaint.

ANSWER: Respondent denies the allegations of Paragraph 39.

40. As a result of COSCO's conduct, SEA has sustained serious and substantial injuries and monetary damages, including paying erroneous demurrage and detention charges, which continue to be tabulated and accrued as of the filing of this Complaint. SEA paid over 22,000 demurrage, detention, and associated charges.

ANSWER: Respondent denies the allegations of Paragraph 40.

41. SEA is the consignee of cargoes of home goods shipped to the U.S. in ocean shipping containers ("SEA Containers") by COSCO.

ANSWER: Respondent lacks knowledge or sufficient information to admit or deny the allegations of Paragraph 41 except as may be addressed on an individual, shipment-by-shipment identification of the relevant bills of lading. Respondent denies that any containers were "shipped" by COSCO or that there is such a thing as "SEA Containers."

42. COSCO transported SEA Containers under through bills of lading, or sea waybills, from the overseas locations through U.S. ports and on to designated U.S. inland locations (commonly known as "store door" terms).

ANSWER: Respondent denies that it transported "SEA Containers" and otherwise lacks sufficient knowledge or information to admit or deny the allegations of Paragraph 42 except as may be addressed on an individual, shipment-by-shipment identification of the relevant bills of lading.

43. Under through bills of lading and sea waybills, COSCO is responsible as the common carrier for both (1) the ocean carriage of the SEA Containers to a U.S. port, and (2) the

inland carriage of the SEA Containers to the U.S. inland locations, generally SEA warehouses or directly to SEA customer locations.

ANSWER: The allegations of Paragraph 43 are legal conclusions to which no response is required. To the extent that an answer is required, Respondent denies the allegations of Paragraph 43.

44. The inland movement of containers under “store door” terms is commonly referred to as “carrier haulage” because the ocean carrier is responsible for the inland movement via rail and/or truck drayage to the named place of delivery and the provision of chassis to move the SEA Containers.

ANSWER: Respondent denies the allegations of Paragraph 44.

45. In contrast to carrier haulage, under “CY” (container yard) or “port-to-port” terms, the inland movement of containers is commonly referred to as “merchant haulage” because the shipper or consignee is responsible for the inland movement from the port to the final inland destination.

ANSWER: Respondent denies the allegations of Paragraph 45.

46. In store door shipments, COSCO is responsible for arranging and paying for the inland movements, and for ensuring the removal of containers from U.S. marine and intermodal terminals and the delivery of containers to the designated inland locations.

ANSWER: The allegations of Paragraph 46 are legal conclusions to which no response is required. To the extent that an answer is required, Respondent denies the allegations of Paragraph 46.

47. In store door shipments, costs and charges relating to delays in the timely removal of containers from terminals (generally known as “demurrage” charges) should be borne by COSCO, not a consignee like SEA.

ANSWER: The allegations of Paragraph 47 are legal conclusions to which no response is required. To the extent that an answer is required, Respondent denies the allegations of Paragraph 47.

48. In store door shipments, costs and charges relating to delays in the timely delivery of containers (and chassis) to the designated inland locations and ultimately the return of empty containers and equipment to COSCO’s possession or control at COSCO’s designated location (generally known as “detention” or “per diem” charges) should be borne by COSCO, not the shipper or consignee, when the delays result from matters for which (1) COSCO is responsible (e.g., delays in equipment return caused by ocean carrier empty return restrictions or limitations), and/or (2) COSCO bears the responsibility for the underlying transportation delays (e.g., delays in equipment return

caused by problems performing inland drayage services, such as subcontracting adequate trucking, and/or availability of chassis the ocean carrier is responsible to provide).

ANSWER: The allegations of Paragraph 48 are legal conclusions to which no response is required. To the extent that an answer is required, Respondent denies the allegations of Paragraph 48.

49. Since January 2020, COSCO has transported SEA Containers under “store door” terms to the U.S. from various overseas locations, through numerous U.S. ports (including Seattle and Los Angeles/Long Beach), to numerous inland locations throughout the U.S.

ANSWER: Respondent denies that it transported “SEA Containers,” and otherwise lacks information sufficient to admit or deny the allegations of Paragraph 49 except as may be addressed on an individual, shipment-by-shipment identification of the relevant bills of lading.

50. Since 2020 and through the time of this Amended Complaint, SEA has been invoiced and paid substantial amounts of demurrage and detention charges and other drayage-related charges in connection with COSCO’s store door transportation of SEA Containers.

ANSWER: Respondent denies the allegations of Paragraph 50 that most of such invoices were sent by, or that most of such payments were paid to, COSCO. Respondent otherwise lacks sufficient information to admit or deny the allegations of Paragraph 50.

51. Beginning in approximately mid-2020, COSCO began repeatedly and chronically failing to maintain just and reasonable practices in connection with its inland transportation obligations, including failing to timely remove SEA Containers from U.S. marine and intermodal terminals and failing to timely deliver SEA Containers to their designated inland locations.

ANSWER: Respondent denies the allegations of Paragraph 51 and denies that there are “SEA Containers.” Respondent further notes that Paragraph 51 in the Amended Complaint was amended by Complainant without seeking or being granted leave to do so.

52. During that same period, COSCO began charging SEA dramatically increasing amounts for alleged demurrage and detention charges resulting from COSCO’s inland transportation failures.

ANSWER: Respondent denies the allegations of Paragraph 52.

53. When asked to explain the reason for assessing the charges to SEA, COSCO proffered various excuses relating to alleged chassis shortages, trucker shortages, inclement weather, and port and terminal congestion matters, which were neither within the control of SEA nor the responsibility of SEA under the store door terms.

ANSWER: Respondent denies the allegations of Paragraph 53.

54. When asked to mitigate, cancel, or waive charges for which SEA was not responsible and on the basis that COSCO was responsible for such inland charges under store door terms, COSCO refused to mitigate, cancel, or waive the charges.

ANSWER: Respondent denies the allegations of Paragraph 54.

55. COSCO has repeatedly demanded payment of disputed demurrage and detention charges and invoices and threatened various punitive actions against SEA if payments were not made, including refusing release of subject SEA Containers and threatening to refuse release of unrelated SEA Containers.

ANSWER: Respondent denies the allegations of Paragraph 55.

56. COSCO has in fact refused release of SEA Containers moving under store door terms on the basis of allegedly outstanding demurrage and detention charges arising from the foregoing COSCO practices.

ANSWER: Respondent denies the allegations of Paragraph 56.

57. In addition to charging SEA for inland transportation costs and charges never actually earned as a result of COSCO's failures to perform under "store door" terms, COSCO's billing practices and policies caused further injuries to SEA:
- a. COSCO's invoices routinely lacked adequate information to determine the basis for the individual demurrage and detention charges;
 - b. Based on information and belief, COSCO assessed charges against SEA Containers without consideration of COSCO's responsibility (or SEA's absence of responsibility) for the circumstances resulting in such demurrage and detention charges;
 - c. COSCO repeatedly rebilled SEA for charges previously billed, and for charges previously paid, based on information and belief, on COSCO failing to properly reconcile its invoices with payments received from SEA and others, including payment vendors;
 - d. COSCO improperly and systematically required that SEA undertake initial payment responsibility for demurrage and/or detention charges as a condition to release cargo from intermodal terminals and without taking adequate steps to address increasing delays, costing SEA not only the direct costs of paying such charges, but also causing SEA to incur significant and substantial costs for employees and systems to undertake responsibility for COSCO's inland transportation obligations; and
 - e. COSCO failed to have or engage in an adequate or meaningful dispute resolution process for demurrage and detention charges.

ANSWER: Respondent denies the allegations of Paragraph 52 including all of its subparagraphs.

58. COSCO's conduct also resulted in container processing and handling delays at SEA's warehouses and client delivery locations, as well as delays in container and equipment returns, resulting in further detention charges and injuries.

ANSWER: Respondent denies the allegations of Paragraph 58.

59. Based on information and belief, as a result of COSCO's unjust and unreasonable practices and other unlawful conduct, SEA was repeatedly charged detention and/or per diem in connection with empty containers and chassis when COSCO failed to provide reasonable opportunity to return such equipment without incurring additional charges, including inadequate availability of return locations, and inadequate and/or inaccurate information concerning return locations.

ANSWER: Respondent denies the allegations of Paragraph 59

60. On September 23, 2022, SEA sent a Notice of Demand for Action letter ("Demand Letter") to COSCO regarding unreasonable and unlawful charges for demurrage, detention, handling, and/or storage, and other unreasonable and unlawful conduct. The Demand Letter invited COSCO to respond in a substantive manner, and asked that COSCO indicate its interest in discussing cooperative resolution.

ANSWER: Respondent denies the allegations in Paragraph 60, lacks knowledge sufficient to admit or deny the date upon which SEA may have sent any letter, except admits that a letter was dated September 23, 2022, and refers to the letter for its content.

61. COSCO acknowledged receipt of the Demand Letter by email, but summarily responded only that "this claim does not include any shipment list/details for review" and did not respond to SEA's invitation to discuss cooperative resolution.

ANSWER: Respondent denies the allegations of Paragraph 61 except admits that an email was received and refers to the email for its content.

62. On October 14, 2022, SEA sent COSCO a final notice letter ("Response Letter") following up on SEA's Demand Letter. SEA explained that the "shipment list/details" cryptically referenced in COSCO's acknowledgement email were readily available to COSCO from its records, which SEA had already indicated in the Demand Letter. As explained in the letters, COSCO is fully aware of COSCO's store door shipments for which SEA was the consignee. The Response Letter further explained SEA's position that COSCO's practice of charging demurrage and detention under store door moves was unreasonable and unlawful under the Shipping Act of 1984. SEA again sought to meet with COSCO to discuss potential resolution of SEA's claims.

ANSWER: Respondent admits that it received a letter dated October 14, 2022, lacks knowledge sufficient to admit or deny the date upon which SEA may have sent any letter, but denies the characterization and states and refers to the letter for its content.

63. On October 20, 2022, COSCO responded and agreed to meet in person.

ANSWER: Respondent admits that it responded on October 20, 2022, and agreed to meet in person.

64. On October 28, 2022, a meeting with COSCO representatives was held at SEA headquarters in New Jersey, attended by James Houghtalin, a COSCO Deputy General Manager, Commercial Division and Qin He, a COSCO General Manager, Commercial Division.

ANSWER: Respondent admits that such a meeting was held on October 28, 2022, at SEA headquarters in New Jersey, which was attended by the persons named in Paragraph 64 and others.

65. At the meeting, the parties exchanged information on claims and views, and the meeting resulted in COSCO's Houghtalin stating that COSCO would "crunch the numbers" on the charges, would undertake additional internal fact-finding, and would meet again in two weeks.

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny the purported statement quoted in Paragraph 65. Respondent otherwise denies the allegations of Paragraph 65 except admits that the parties exchanged information on claims and views and agreed to meet again.

66. In the ensuing weeks, and ultimately months, there was no meaningful dispute resolution progress made. Indeed, it became apparent to SEA that COSCO was unwilling or unable to even meaningfully evaluate its own charges, and in significant instances COSCO did not know and could not substantiate COSCO's own charges and invoices on SEA Containers that had been issued and paid.

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny what SEA may have erroneously believed and denies the remaining allegations of Paragraph 66.

67. Despite COSCO's commitments to engage in a dispute resolution process with SEA, it became apparent that COSCO does not have a reasonable or adequate dispute resolution practice, policy or procedure at all.

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny what SEA may have erroneously believed and denies and denies the remaining allegations of Paragraph 67.

68. In a last effort to address resolution before seeking relief before the FMC, SEA and COSCO met on September 28 and September 29, 2023, to address the full range of issues. In attendance for COSCO, in addition to Mr. Houghtalin, was in-house counsel John Pan and Ashley Harper, along with COSCO's outside counsel. In preparation for the

meeting, at the request of COSCO, SEA provided COSCO a fourteen-page letter which provided exemplars of COSCO's unreasonable conduct. The letter included emails with COSCO which addressed its shortfalls in the following areas:

- (a) chassis shortages and empty container returns;
- (b) rail delays and mismanagement;
- (c) trucking issues;
- (d) port congestion; and
- (e) communication delays.

COSCO also unilaterally changed several key aspects of how it treats SEA under store door terms in contravention of FMC directives and applicable regulations, including invoicing and collection practices and shifts in prior practices with transportation arrangements and SEA addressed this in detail.

ANSWER: Respondent denies the allegations of Paragraph 68 including all of its subparts, except Respondent admits that representatives of SEA and COSCO met on September 28 and 29, 2023, and that SEA provided COSCO with a letter and refers to the letter for its content.

69. While no resolution was reached at the two-day settlement meeting, the parties agreed to meet again on October 25, 2023. In the interim three weeks, SEA provided COSCO with additional information supporting its damages claims, including the requested container numbers, bill of lading numbers, SCAC codes and total amounts of the charges for each COSCO move where SEA wrongfully paid charges and is seeking reparations. Following an additional request by COSCO, SEA also provided an additional column to the spreadsheet indicating the cost category for each charge.

ANSWER: Respondent denies the allegations of Paragraph 69 except admits the first sentence and that SEA provided some additional information to COSCO.

70. On October 25, 2023, SEA and COSCO met and made no progress to resolution of the disputes, with further time sought.

ANSWER: Respondent denies the allegations of Paragraph 70 except admits that representatives of SEA and COSCO met on October 25, 2023.

71. In a last ditch effort, SEA and COSCO held subsequent telephone and in-person conversations in 2024, with no resolution reached, necessitating this filing.

ANSWER: Respondent denies the allegations of Paragraph 71 except admits that representatives of SEA and COSCO had subsequent telephone and in-person conversations in 2024, and that no resolution was reached.

72. As a result of COSCO's wrongful conduct, SEA incurred serious and substantial injuries and monetary damages, including paying improper charges for demurrage and detention, with charges continuing to be tabulated and accrued as of the filing of this Amended Complaint.

ANSWER: Respondent denies the allegations of Paragraph 72.

73. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: Respondent repeats and realleges each and every response to each Allegation above as if fully set forth herein.

74. Section 41102(c) prohibits a common carrier or marine terminal operator from failing to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

ANSWER: Paragraph 74 constitutes a conclusion of law to which no answer is required. To the extent a response is required, Respondent denies Complainant's characterization of 46 U.S.C. § 41102(c).

75. Respondent COSCO is an ocean common carrier as defined by the Shipping Act.

ANSWER: Respondent admits the allegations of Paragraph 75.

76. Respondent's foregoing practices and procedures relating to the assessment of demurrage and detention are directly related to receiving, handling, storing, or delivering SEA's property.

ANSWER: Respondent denies the allegations of Paragraph 76.

77. Respondent's foregoing practices and procedures relating to the assessment of demurrage and detention have been occurring on a normal, customary, and continuous basis, in excess of 5,000 individual demurrage charges and over 17,000 individual detention-type charges.

ANSWER: Respondent denies the allegations of Paragraph 77.

78. Respondent's foregoing practices and procedures relating to the assessment of demurrage and detention are unjust and unreasonable in violation of § 41102(c).

ANSWER: Allegation 78 constitutes a conclusion of law to which no answer is necessary. To the extent that an answer is required, Respondent denies the allegations of Paragraph 78.

79. Respondent's foregoing practices and procedures relating to the assessment of demurrage and detention are the proximate cause of SEA's claimed injury and damages.

ANSWER: Paragraph 79 constitutes a conclusion of law to which no answer is necessary. To the extent that an answer is required, Respondent denies the allegations of Paragraph 79.

80. The following practices and procedures relating to the assessment of demurrage and detention are specifically unjust and unreasonable in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§ 545.4 and 545.5:
- a. assessing demurrage and detention charges on SEA for costs and charges in the inland intermodal transportation of SEA Containers moving under store door terms for reasons that are not within SEA's control;
 - b. assessing demurrage and detention charges on SEA for costs and charges in the inland intermodal transportation of SEA Containers when COSCO is responsible for the pickup from the port, movement to the inland place of delivery, and return of the SEA Containers;
 - c. continuing to book new SEA Containers under store door terms without taking adequate steps to address increasing delays and costs incurred in securing timely intermodal movement of SEA Containers;
 - d. assessing demurrage and detention charges on SEA for costs and charges in the inland intermodal transportation of SEA Containers without a meaningful practice or procedure to first determine responsibility for such charges (under store door terms, or otherwise);
 - e. failing to provide SEA with adequately detailed billing information and/or invoices related to demurrage and detention charges that would permit SEA to meaningfully understand and/or contest the charges;
 - f. rebilling demurrage and detention charges already billed and/or already paid;
 - g. refusing to extend free time and/or mitigate, waive or reduce demurrage or detention charges that were not SEA's responsibility;
 - h. failing to have or employ an adequate dispute resolution policy or practice with regard to demurrage and detention charges;
 - i. threatening to withhold services and refusing to release SEA Containers without payment of charges that were not SEA's responsibility;
 - j. assessing demurrage and detention charges on SEA as consignee for costs and charges of delays in the inland intermodal transportation of SEA Containers moving under store door terms that serve no incentivizing principle and do not promote freight fluidity because SEA is not responsible for the inland portion of the transportation;

- k. demanding/requiring that SEA undertake COSCO's responsibilities as common carrier in order to release and/or move SEA Containers, including, but not limited to, requiring that SEA arrange for and directly pay marine terminals and other service providers for release of SEA Containers from intermodal terminals and for inland transportation of SEA Containers moving under through bills of lading;
- l. assessing detention charges for equipment return delays that were COSCO's responsibility and for delays arising because COSCO did not provide adequate opportunity to return containers; and
- m. refusing release of SEA Containers without payment of charges that were not SEA's responsibility.

ANSWER: Paragraph 80 constitutes a long series of legal conclusions, to which no answer is necessary. To the extent that an answer is required, Respondent denies the Allegations of Paragraph 80, including all of its subparts.

- 81. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: Count II was dismissed by Order of the Presiding Officer dated April 11, 2025.

- 82. Prior to the enactment of the Ocean Shipping Reform Act of 2022 ("OSRA"), 46 U.S.C. § 41104(a)(3) prohibited a common carrier from "retaliat[ing] against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason."

ANSWER: Dismissed.

- 83. On and after the enactment of OSRA, 46 U.S.C. § 41102(d) prohibits a common carrier (among others) whether acting alone or in conjunction with another person, directly or indirectly, from "retaliat[ing] against a shipper . . . by refusing, or threatening to refuse, an otherwise-available cargo space accommodations, or . . . resort to other unfair or unjustly discriminatory action for – the reason that a shipper . . . has . . . filed a complaint against the common carrier . . . or any other reason."

ANSWER: Dismissed.

- 84. The Commission explained in its December 28, 2021 Statement On Retaliation that: "shipper" is defined broadly and includes "a cargo owner, the person for whose account the ocean transportation of cargo is provided, [and] the person to whom delivery is to be made ..." FMC Docket No. 21-15, Dec. 28, 2021, Statement of the Commission On Retaliation, at 7.

ANSWER: Dismissed.

85. The Commission also explained that “to establish a violation of § 41104(a)(3), a complainant alleging retaliation or other unfair or unjustly discriminatory conduct based on the above grievance-related activity (filing complaints, etc.) does not need to prove that the carrier’s conduct was designed to stifle competition of other carriers or that the shipper at issue sought the services of a carrier other than the respondent – cases suggesting otherwise are inapplicable.” Id.

ANSWER: Dismissed.

86. Grievance-related activity protected by the anti-retaliation prohibitions extends beyond filing complaints, and that the Commission “will interpret 46 U.S.C. § 41104(a)(3) – the anti-retaliation provision – broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping practices and new forms of retaliation.” Id.

ANSWER: Dismissed.

87. In response to Complainant’s efforts to address COSCO’s shipping and charging practices, resolve disputes, and dispute invoices, COSCO threatened to retaliate, and in fact did retaliate, against Complainant and SEA Containers with respect to delivery of cargo and refusing available cargo space accommodation.

ANSWER: Dismissed.

88. Prior to and on numerous occasions to and through the date of this Complaint, COSCO retaliated against Complainant and SEA Containers in violation of 46 U.S.C. §§ 41104(a)(3) and 41102(d).

ANSWER: Dismissed.

89. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: Count III was dismissed by Order of the Presiding Officer dated April 11, 2025.

90. Prior to the enactment of the OSRA, pursuant to 46 U.S.C. § 41104(a)(10) it was unlawful for a common carrier to “unreasonably refuse to deal or negotiate.”

ANSWER: Dismissed.

91. On and after the enactment of OSRA, 46 U.S.C. § 41104(a)(10) makes it unlawful for a common carrier to “unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.”

ANSWER: Dismissed.

92. In response to Complainant's efforts (a) to address COSCO's shipping and charging practices with respect to inland services under through bills of lading and demurrage and detention charges and practices, (b) to resolve disputes, and (c) dispute invoices, COSCO has refused to meaningfully engage or change its underlying practices, specifically including the practices and actions described in Section V above.

ANSWER: Dismissed.

93. Prior to and on numerous occasions to and through the date of this Complaint, COSCO refused to deal or negotiate with Complainant and with respect to SEA Containers in violation of 46 U.S.C. § 41104(10).

ANSWER: Dismissed.

94. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: Respondent repeats and realleges each and every response to each Paragraph above as if fully set forth herein.

95. As amended by OSRA, 46 U.S.C. § 41104(a)(15) provides that a "common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not--...invoice any party for demurrage and detention charges unless the invoice includes information as described in subsection (d) [referring to 46 U.S.C. § 41104(d)] showing that such charges comply with—

(A) all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations); and (B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled 'Interpretive Rule on Demurrage and Detention Under the Shipping Act' (or successor rule)."

ANSWER: Paragraph 95 constitutes a conclusion of law as to which no answer is required. To the extent a response is required, Respondent denies the allegations in Paragraph 95 and refers to the text of 46 U.S.C. § 41104(a)(15) for its content.

96. Based upon information and belief, on numerous occasions through and to the date of this Complaint, COSCO, itself or in conjunction with sub-contractors or others on behalf of COSCO, sought to invoice and/or charge for demurrage and detention on and after the effective date of OSRA without complying with 46 U.S.C. § 41104(a)(15)(A) or (B) or 46 U.S.C. § 41104(d).

ANSWER: Paragraph 96 constitutes a conclusion of law as to which no answer is required. To the extent that an answer is required, Respondent denies the allegations of Paragraph 96.

97. Issuing such invoices, without properly complying with 46 U.S.C. § 41104(a)(15)(A) or (B), or information outlined in 46 U.S.C. § 41104(d), would be a violation of 46 U.S.C. § 41104(a)(15).

ANSWER: Paragraph 97 constitutes both an assertion of law as to which no answer is required and a hypothetical to which no answer is possible.

98. In addition to other penalties and remedies, the issuance of such invoices that would trigger 46 U.S.C. § 41104(f), which provides that “[f]ailure to include the information required under subsection (d) of an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.”

ANSWER: Paragraph 98 constitutes a conclusion of law as to which no answer is required and a hypothetical to which no answer is possible. To the extent an answer is required, Respondent denies the allegations of Paragraph 98 and refers to the text of 46 U.S.C. § 41104(f) for its content.

99. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: Respondent repeats and realleges each and every response to each Allegation above as if fully set forth herein.

100. As amended by OSRA, 46 U.S.C. § 41104(a)(14) provides that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not--...assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations).”

ANSWER: Paragraph 100 constitutes a conclusion of law as to which no answer is required. To the extent an answer is required, Respondent denies the allegations of Paragraph 100 and refers to the text of 46 U.S.C. § 41104(a)(14) for its content.

101. As alleged in each of the Counts above, on information and belief, COSCO’s practices and actions in connection with assessment of demurrage and detention charges in Q2 and Q3 2022 (after the effective date of OSRA) under through bills of lading would also violate 46 U.S.C. § 41104(a)(14).

ANSWER: Paragraph 101 constitutes a conclusion of law and a hypothetical as to which no answer is required. To the extent an answer is required, Respondent denies the allegations of Paragraph 101.

102. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: Respondent repeats and realleges each and every response to each Allegation above as if fully set forth herein.

103. Section 41102(c) prohibits a common carrier or marine terminal operator from failing to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

ANSWER: Paragraph 103 constitutes a conclusion of law as to which no answer is required. To the extent an answer is required, Respondent denies the allegations of Paragraph 100 and refers to the text of 46 U.S.C. § 41102(c) for its content.

104. In addition to the elements set forth in Count I, each of which is applicable here and incorporated herein, Section 41102(c) applies equally to dispute resolution practices, policies and procedures (or lack thereof) in connection with assessment, collection, and dispute resolution of charges relating to or connected with receiving, handling, storing, or delivering property.

ANSWER: Paragraph 104 constitutes a conclusion of law and a hypothetical as to which no answer is required. To the extent an answer is required, Respondent denies the allegations of Paragraph 104 and refers to the text of 46 U.S.C. § 41102(c) for its content.

105. Respondent’s dispute resolution practices (or lack thereof), including, but not limited to, Respondent’s failures to meaningfully engage in commitments to address disputed charges beyond those paid directly to it, and Respondent’s apparent lack of any workable practice, policy or procedure to meaningfully evaluate disputed charges, both throughout the relevant time period of this Complaint, and between October 2022 to date, as set forth in Section V above, constitute violations of Section 41102(c).

ANSWER: Respondent denies the allegations of Paragraph 105.

106. Respondent’s foregoing lack of just and reasonable dispute resolution practices was and continues to be a proximate cause of injury and damages to SEA.

ANSWER: Respondent denies the allegations of Paragraph 106.

107. As a result of Respondent’s violations of the Shipping Act, Complainant has sustained serious and substantial injuries and monetary damages, including paying erroneous detention and demurrage charges, and other damages. COSCO’s unreasonable and unlawful conduct is continuing, and SEA continues to sustain injury and damages.

ANSWER: Respondent denies the allegations of Paragraph 107.

108. Damages to SEA caused by Respondent’s Shipment Act violations as detailed above in this Amended Complaint for which SEA seeks reparations totaling at least \$20 million, which includes:

- (a) Excessive and unlawful demurrage, detention and associated charges on COSCO container moves totaling over \$12 million;
- (b) Additional costs borne by SEA such as additional personnel hired to handle the increase in transportation costs on COSCO container moves and costs of leasing off-dock container yard space totaling approximately \$3 million;
- (c) SEA's lost revenues of at least \$2 million;
- (d) Employee and attorney time expended in connection with unsuccessful efforts to dispute unlawful detention, demurrage and associated charges with COSCO before the filing of SEA's complaint;
- (e) Attorneys' fees expended in connection with disputes with COSCO; and
- (f) Not less than \$3 million in prejudgment interest.

ANSWER: Respondent denies the allegations of Paragraph 108.

109. SEA has unsuccessfully attempted to resolve this matter with Respondent prior to filing the original Verified Complaint. These multiple discussions and meetings, between October 22 to date, as set forth in Section V above, provide detailed allegations as to SEA's efforts. Considering statements made by Respondent and consequent noncooperation in resolving this matter, including those outlined specifically in this Amended Complaint, SEA did not seek to use the FMC's alternative dispute resolution process prior to filing the original Verified Complaint.

ANSWER: Respondent denies the allegations of Paragraph 109, except that it admits that the parties' settlement efforts were unsuccessful, despite COSCO's good faith efforts, and Respondent lacks sufficient information to admit or deny whether or why SEA decided not to use the FMC's ADR processes, despite the fact that COSCO agreed to do so.

110. For the same reasons stated above, Complaint has not had any preliminary consultations with the FMC's Dispute Resolution Specialist regarding the availability of alternative dispute resolution under the FMC's ADR program (46 C.F.R. § 502.64).

ANSWER: Respondent lacks sufficient information to admit or deny whether or why SEA has not had any preliminary consultations with the FMC's Dispute Resolution Specialist.

ORAL HEARING

111. Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol Street, NW, Washington, D.C. 20573-0001

ANSWER: Respondent agrees that a hearing, including cross-examination, is necessary and appropriate and that such hearing should be held in Washington, DC.

AFFIRMATIVE DEFENSES

1. The Federal Maritime Commission lacks subject matter jurisdiction over any claim relating to charges imposed by railroads, ocean terminals, or other third parties.
2. The Federal Maritime Commission lacks subject matter jurisdiction over any claim relating to the carriage of cargo that did not move via ocean carrier through a port of the United States.
3. The Federal Maritime Commission lacks subject matter jurisdiction over the claim asserted in Count I of the Complaint (46 U.S.C. § 41102(c)).
4. The Federal Maritime Commission lacks authority to adjudicate this matter to the extent that Complainant's claims sound in contract.
5. The Amended Complaint fails to state a claim upon which relief may be granted.
6. To the extent the Amended Complaint alleges any invoice was issued prior to June 16, 2022, the requirements of 46 U.S.C. § 41104(a)(14) and (15) do not apply retroactively.
7. The Federal Maritime Commission lacks adequate procedures to adjudicate this matter, and the Commission's adjudication of this matter would violate the Seventh Amendment of the U.S. Constitution.
8. The Federal Maritime Commission lacks authority to adjudicate this matter, and the Commission's adjudication of this matter would violate the Judiciary Act of 1789.
9. Complainant waived all of its claims due to its failure to use the procedures required by the Federal Maritime Commission and maintained by Respondent for addressing disputes about detention, demurrage, and per diem charges.
10. Pre-litigation communications and negotiations between the parties concerning potential claims and settlement are exempt from liability under the petitioning government exemption and the *Noerr-Pennington* doctrine.

11. Because Respondent maintained procedures for disputing detention, demurrage, and per diem charges and Complainant willfully declined to use them, Respondent's actions were per se reasonable.

12. Any harm experienced by Complainant was a result of its own failures, acts, or omissions.

13. To the extent that the Claims involve charges assessed, invoiced, or collected by entities other than Respondent, such as railroads, terminal operators, truckers, and storage facilities, Respondent cannot be held responsible for the imposition of such charges.

14. Complainant's claims are barred in whole or in part because Complainant directly or indirectly authorized, consented to, acquiesced in, or ratified some or all of the acts or omissions of which it complains.

15. Complainant failed to mitigate any damages.

16. Complainant's claims are barred in whole or in part by the doctrines of laches, estoppel, waiver, and unclean hands.

COUNTERCLAIM

By this Answer and pursuant to the Commission's Rules at 46 U.S.C. § 502.62(b)(4), Respondent alleges the following Counterclaim against Complainant Samsung Electronics America, Inc. ("SEA") and states as follows:

I. PARTIES

1. Counter-Complainant COSCO is a corporation organized and existing under the laws of the People's Republic of China, with its corporate office at No. 378, Dong Da Ming Road, Shanghai, China. It is a vessel-operating "ocean common carrier" as that term is defined by 46 U.S.C. § 40102(7) and (18).

2. Counter-Respondent Samsung Electronics America, Inc. ("Counter-Respondent" or "SEA"), a corporation organized and existing under the laws of the State of New York, with a principal place of business at 85 Challenger Road, Ridgefield Park, New Jersey, 07660-2118, is a wholly owned subsidiary of Samsung Electronics.

3. Upon information and belief, SEA is a wholly owned subsidiary of Samsung Electronics Company, Ltd. ("Samsung Electronics" or "SEC"), a corporation engaged in the global electronics business that is organized and existing under the laws of the Republic of Korea, with its principal place of business located at 129, Samseong-ro, Yeongtong-gu, Suwon-si, Gyeonggi-do (Maetan-dong) Seoul, 16677, Republic of Korea.

4. Upon information and belief, Samsung Electronics Logitech Company Limited ("Samsung Logitech"), a wholly owned subsidiary of SEC, is a corporation organized and existing under the laws of the Republic of Korea, with its principal place of business located at 401 Shin-dong, Youngtong-gu, Suwon, Kyonggi-do, Republic of Korea.

5. Upon information and belief, Samsung SDS Global SCL Asia Pacific PTE LTD ("Samsung SDSAP"), a wholly owned subsidiary of SEC, is a corporation organized and

existing under the laws of the Republic of Singapore, with its principal place of business located at #07-32 Mapletree Business City, 30 Pasir Panjang Road, Singapore 117440, Singapore.

6. Samsung Electronics, Samsung Logitech, and Samsung SDSAP are collectively referred to herein as “Samsung.”

7. Upon information and belief, Samsung Electronics controls Samsung Logitech, Samsung SDSAP, and SEA.

II. JURISDICTION

8. The FMC has jurisdiction over this proceeding pursuant to the Shipping Act, including 46 U.S.C. § 41301; and 46 U.S.C. § 41102(a).

9. Complainant/Counter-Respondent is a “person” as that term is used in 46 U.S.C. § 41102(a), which provides the FMC with both subject matter jurisdiction and personal jurisdiction over Complainant/Counter-Respondent.

III. FACTUAL ALLEGATIONS

10. In 2021 and 2022, Samsung invited COSCO and other ocean common carriers to submit proposals for the transport of Samsung's cargoes and transmitted documents to COSCO entitled “2021 RFQ for Ocean Freight” and “2022 RFQ for Ocean Freight” (collectively, the “Samsung RFQs”), which described the terms and conditions that COSCO was required to meet in the event Samsung accepted COSCO’s proposals.

11. The Samsung RFQs requested bids for the carriage of Samsung’s cargo from foreign locations to be delivered: (i) at North American ports (“Container Yard” or “CY” delivery terms) and also (ii) to certain inland locations in the United States designated by Samsung or SEA (“store door” or “SDD” delivery terms).

12. For SDD movements, Samsung's RFQs required bidders, including COSCO, to propose rates using drayage truckers nominated by Samsung or SEA for trucking loaded containers to SEA's warehouse.

13. Each Samsung RFQ provided in paragraph 6, captioned "Customer Service," as follows:

Preferred Trucker & Delivery

- Carriers are required to provide local delivery service with consignee's preferred trucker if any. (CNT = Customer Nominated Trucker)

14. COSCO's bids in response to each of the RFQs included rates and terms for both CY and SDD deliveries, as required by the Samsung RFQs.

15. Following Samsung's acceptance of bids submitted by COSCO in response to the Samsung 2021 RFQs, SEC's subsidiary, Samsung Logitech, executed COSCO Service Contracts Number GKU21005 and GKU21006, which were filed with the Federal Maritime Commission.

16. Following Samsung's acceptance of bids submitted by COSCO in response to the Samsung 2022 RFQs, SEC's subsidiary Samsung SDSAP executed Service Contract Numbers GKU22005 and GKU22006, which were filed with the Federal Maritime Commission.

17. Service Contract Numbers GKU21005, GKU21006, GKU22005 and GKU22006 (hereinafter the "Service Contracts") each state that the Service Contract is made between the Carrier (COSCO) and the Shipper (Samsung Logitech or Samsung SDSAP) and all Affiliates of the Shipper listed in Appendix B of the Service Contract.

18. Appendix B to each of the Service Contracts lists SEA, the Complainant/Counter-Respondent in this proceeding, as an Affiliate of Samsung Logitech and Samsung SDSAP.

19. Samsung Logitech and Samsung SDSAP respectively represented and warranted that each of the Affiliates listed in the executed Appendix B of the Service Contract was an entity

controlled by Samsung Logitech or Samsung SDSAP, and that the person executing the Service Contract had the authority to enter into the Service Contract on behalf of the Affiliates listed in Appendix B.

20. Samsung Logitech and Samsung SDSAP instructed COSCO to issue sea waybills showing SEA as consignee for shipments subject to the Service Contracts.

21. Samsung instructed COSCO to issue invoices to SEA for charges incurred in the United States pursuant to the Service Contracts.

22. SEA is bound by the terms of the Service Contracts.

23. Samsung and SEA agreed, as memorialized in paragraph 16 of the Service Contracts, that they would be jointly and severally liable for performance of the terms and conditions of the Service Contract, including the payment of all rates and charges.

24. Paragraph 3 of each of the Service Contracts states that all rates shall be deemed to be for CY delivery, unless otherwise specified in the contract.

25. The Service Contracts each specified (in Notes S1, S1A, S1x)) that the rates listed therein, including Store Door rates, "...are not inclusive of ...all other surcharges, including those, if any, specified in the contract and those published in the Governing Tariff(s) at the time of shipment."

26. Paragraph 103 of each of the Service Contracts signed by Samsung provided that, unless otherwise provided in the contract, transportation provided would be subject to all applicable rules, regulations, rates, and charges set forth in COSCO's tariff(s) of general applicability including amendments and reissues thereto.

27. SEA was bound by Samsung's agreement that all cargoes moving under the Service Contracts were subject to COSCO's tariff of general applicability.

28. COSCO's published Tariff Rule 201-002-064 contained specific rules for store door moves and for the use of customer-nominated truckers.

29. Each of the Service Contracts provided that Samsung and SEA would be responsible for the payment of all per diem (detention) charges incurred in the United States.

30. At Samsung's instruction, SEA appeared as consignee on sea waybills issued under the Service Contracts.

31. The Service Contracts instructed COSCO on how to issue invoices to Samsung/SEA for detention (per diem) charges incurred in the United States.

32. Samsung and SEA also agreed that all cargoes moving under the Service Contracts shall be subject to the tariffs as incorporated in each of the Service Contracts.

33. Paragraph 112 of each Service Contracts states:

Subject to the terms of this Customer Nominated Trucker provision, Carrier will endeavor to use Merchant's CNT. In the event Merchant's CNT is unable or unwilling (as the foregoing are determined by Carrier in its sole discretion) to complete the transportation as requested by Carrier, the carrier shall have no obligation to substitute one of its house truckers. However, Merchant may request that the carrier substitute a house trucker and if the carrier agrees to use alternative transportation, Merchant agrees to pay all additional costs associated with the alternative transportation, to include but not be limited to increased truck costs, equipment costs, demurrage, detention, rail costs, and other costs that may arise from or relate to the alternative transportation.

Customer Nominated Trucker rates shall be agreed prior to the effective date of this Contract and shall not be subject to change during the period of the Contract; should the Merchant choose to nominate a new or alternate Preferred Trucker during the period of this Contract, the Merchant shall be responsible for and guarantee payment of any increase in compensation rate.

1.	Destination Door: _____	Trucker Name: _____
2.	Destination Door: _____	Trucker Name: _____
3.	Destination Door: _____	Trucker Name: _____
4.	Destination Door: _____	Trucker Name: _____
5.	Destination Door: _____	Trucker Name: _____

34. COSCO's CNT Application Form states,

The contract of carriage for inland transportation shall be deemed to be between the trucker and shipper, or owner of the cargo (dispatching, tracing, operations, etc).

The CNT will be employed by the Shipper or the owner of the cargo, NOT CARRIER.

Cosco will make payment directly to CNT for drayage service only unless otherwise specified.

All pick-up #'s must be requested before LFD as COSCO is NOT responsible for storage under CNT Agreement.

35. COSCO Tariff Rule 201-002-064, Store Door Delivery/Pick Up Service, published on March 5, 2018, and effective on April 3, 2018, and throughout the period covered by the SEA Complaint, states the following with respect to Customer Nominated Truckers ("CNT"):

When a customer nominated trucker (CNT) is used at the request of Shipper (or any other interest to the cargo) for store door delivery to a cargo receiver then, notwithstanding anything to the contrary in the bill of lading issued for that shipment, the following terms and conditions shall apply:

1. Carrier will act as agent of Shipper for purposes of arranging the trucking, and the contract of carriage for inland transportation shall be deemed to be between the trucker and Shipper or the owner of the cargo. The CNT will be employed by the Shipper or the owner of the cargo, not Carrier, even though Carrier's rates are inclusive of door delivery. Carrier shall pay the CNT only as agent for Shipper.

2. For purposes of U.S. COGSA and/or applicable law governing carriage of goods by Carrier, delivery to the Shipper will occur when the cargo is interchanged to the CNT.

3. Carrier's liability for loss of or damage to the cargo, or for loss or damage caused by the cargo, shall cease when the cargo is interchanged to the CNT.

4. If any party asserts a claim or cause of action against Carrier for loss or damage occurring after the cargo is interchanged to the CNT, the Shipper or the owner of the cargo will defend and indemnify Carrier against any and all such claims or causes of action.

5. Carrier can refuse to use a customer nominated trucker at any time if there are rate(s) or service discrepancies.

6. Shipper shall be responsible for all additional costs and charges incurred by Shipper's election to use a CNT. These additional costs consisting of, but not

limited to detention, drop fee, equipment usage, and per diem charges are to be invoiced directly to the Shipper.

7. Consistent with Carrier's proof of delivery requirements, the Shipper's CNT is required to keep hardcopy documentation showing proof of deliveries on hand for a period of two (2) years.

8. Rates will be valid for the term of the contract as provided. Notice for termination of the Agreement at the Shipper's or CNT's request must be provided to the Carrier at least thirty (30) days in advance.

36. Samsung and SEA knew or should have known from the above provisions, and otherwise, under the Service Contracts and the tariffs incorporated therein, that Samsung and SEA were responsible for detention and demurrage charges, unless the delays resulted directly from fault by COSCO.

37. Notwithstanding this knowledge, Samsung and SEA failed to disclose their disagreement with this assignment of responsibility.

38. Samsung and SEA's concealment of their disagreement with the terms they negotiated caused COSCO to offer rates that it would not have offered had it known that Samsung and SEA disagreed with the terms of the Service Contracts regarding responsibility for delays involving CNTs or SDDs.

39. COSCO routinely sent SEA (and through SEA, Samsung) Open Per Diem Invoice Statements, Statements of Account, and other communications listing outstanding charges accrued in the United States.

40. Samsung and SEA have nevertheless refused to pay COSCO for some of those lawfully assessed charges.

41. Samsung was fully aware and could have challenged the accuracy of those charges at any time, including before the invoice was sent to SEA, but it did not.

42. On September 23, 2022, SEA sent a letter to COSCO (via COSCO's U.S. agent), captioned "NOTICE OF DEMAND FOR ACTION" ("Demand"), in which it asserted, inter alia, that it had been "coerced" to pay numerous invoices assessing "demurrage, detention, handling and/or storage fees" ("Fees") since 2020 in the amount of USD \$26,000,000.00 "based on available data...as of Q1 2022" and demanded an immediate refund of these Fees, plus all Fees it pays in the future, on the grounds that the shipments moved under "store-door" terms and that "COSCO was responsible for obtaining all necessary resources therefor under the store-door terms."

43. SEA's September 23, 2022 Demand did not identify the bill of lading numbers, container numbers, booking numbers, or individual charges related to the corresponding bills of lading or sea waybills or containers; did not produce any documents, communications or information explaining why the charges were incorrect and should be refunded, waived or reduced; and, instead, claimed that all the charges comprising the \$26,000,000 claim were improper simply because the sea waybills indicated delivery was to be made on a "store-door" basis.

44. In response to SEA's September 23, 2022, Demand, COSCO requested SEA provide details of which shipments, bills of lading, or charges SEA disputed.

45. In an email dated September 26, 2022, SEA's Mr. Rapske stated that it was SEA's position that SEA need not provide the details COSCO requested because SEA's fundamental position was that it was not responsible under a store door sea waybill for any charges resulting in delays in final delivery to SEA's warehouse.

46. In an email communication October 2022, SEA's Mr. Rapske again refused to provide COSCO details on which shipments or charges it was disputing, stating, "[W]e

explained that it was unreasonable under the Shipping Act of 1984, 46 U.S.C. § 40101, for COSCO to charge Samsung demurrage and detention under store door moves, and that the general magnitude of such claims underscores the unreasonableness of COSCO's conduct."

47. COSCO's North American agent and SEA met in person on November 16, 2022, to discuss SEA's claims.

48. Following the November 16, 2022, meeting, SEA's Mr. Rapske wrote COSCO's North American agent saying it was grateful for the meeting but that "recent NY Times coverage of litigation against the ocean carriers before the FMC has led to even higher internal pressure on us to take action against ocean carriers."

49. The Federal Maritime Commission reviewed and informally approved of COSCO's demurrage and detention dispute process (which was in place at all relevant times) pursuant to its VOCC Audit Program.

50. Following further exchanges of letters between SEA and COSCO's North American agent CSLNA and their respective counsel, two days of in person settlement discussions were held on September 28 and 29, 2023 at the New York City offices of SEA's attorneys.

51. Although the aforementioned discussions did not result in a settlement agreement, SEA and CSLNA continued to have further settlement communications until the original Complaint which is the subject of this proceeding was served on March 28, 2024.

52. To date, neither SEA nor any other Samsung entity has paid COSCO or its agent the charges that remain outstanding.

IV. VIOLATIONS OF THE SHIPPING ACT

COUNT I: VIOLATIONS OF 46 U.S.C. § 41102(a)

53. Counter-Complainant COSCO repeats and realleges the foregoing allegations.

54. Section 10(a)(1) of the Shipping Act of 1984 as amended and in force during the relevant period, codified at 46 U.S.C. § 41102(a), prohibits any person from “knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.”

55. During Samsung’s negotiation of the Service Contracts with COSCO, Samsung required that trucking of cargo transported by COSCO under the Service Contracts from the port of entry to the final destination be performed by customer-nominated truckers (“CNTs”), as selected and designated by SEA.

56. Pursuant to the terms and conditions of COSCO Tariff Rule 201-002-064, Store Door Delivery/Pick Up Service, published on March 5, 2018, and effective on April 3, 2018, COSCO acted as an agent for Samsung for purposes of arranging the trucking of containerized shipments transported by COSCO by ocean under the Service Contracts.

57. Pursuant to the terms and conditions of Tariff Rule 201-002-064, Store Door Delivery/Pick Up Service, published on March 5, 2018, and effective on April 3, 2018 and in effect during the relevant period, the contract of carriage for inland door delivery of shipments transported by COSCO under the Service Contracts was deemed to be between the Samsung CNT and SEA as the owner of the cargo.

58. Pursuant to the terms and conditions of Tariff Rule 201-002-064, Store Door Delivery/Pick Up Service, published on March 5, 2018 and effective on April 3, 2018, the CNTs were employed by SEA as the owner of the cargo, and not by COSCO, and COSCO's sole responsibility was the payment to the CNT of freight charges that were included in the rates which it had negotiated with Samsung for its store door delivery service under the Service Contracts.

59. Pursuant to the terms and conditions of Tariff Rule 201-002-064, Store Door Delivery/Pick Up Service, published on March 5, 2018, and effective on April 3, 2018, COSCO paid the CNTs designated by SEA only as agent for the Shipper, Samsung.

60. Except for its obligation to pay CNTs the freight charges agreed upon by COSCO for the inland delivery of containerized shipments transported under the Service Contracts, COSCO was not responsible, unless COSCO itself was at fault, for the failure to perform by the CNTs; nor was COSCO responsible for failures to perform by SEA or Samsung, including but not limited to acts or omissions by SEA, Samsung, or a CNT that resulted in detention, demurrage or storage charges at ocean terminals, rail terminals, or other facilities.

61. The sea waybills issued by COSCO showing SEA as consignee included provisions making SEA responsible for the return of empty containers and liable for any detention, demurrage, loss, or expense arising from non-return of COSCO's equipment.

62. The sea waybills issued by COSCO showing SEA as consignee included provisions making SEA responsible for taking timely delivery of the goods and, if SEA refused to take timely delivery, that it be liable for any loss, damage, expense, or liability incurred by COSCO arising from such a refusal.

63. Charges assessed by COSCO to SEA for demurrage at marine terminals were incurred because the CNTs selected and employed by SEA/Samsung failed to timely pick up cargo at the terminals during free time.

64. The large majority of the charges (by dollar amount) for which SEA purports to seek reparations were assessed by third parties to SEA due to delays by SEA/its CNTs in removing Samsung's cargo from third party container yards. COSCO played no part in those charges.

65. SEA failed to act on the multiple and timely notifications sent by COSCO to SEA regarding the date of arrival, last free day, and accrued demurrage charges for Samsung's shipments.

66. COSCO's practice was to send SEA (and other consignees/truckers) "hastening notices" seeking to obtain its instructions with respect to containers which, after going into demurrage, continued to remain at the terminals.

67. The charges invoiced by COSCO to SEA for detention/per diem were incurred due to the failure of SEA to timely return COSCO's empty containers prior to the expiration of free time and not due to any act or omission on the part of COSCO.

68. The Service Contracts provided for the assessment of demurrage, detention and related charges arising from the failure of SEA to timely take delivery of Samsung's shipments and/or to timely return COSCO's empty containers within the extended free time periods that had been negotiated between the SEC/the Contract Signatories and COSCO.

69. Upon information and belief, a substantial portion of the demurrage and detention charges assessed against SEA by COSCO were attributable to SEA's inability to take timely delivery of Samsung's cargo.

70. Upon information and belief, a portion of the demurrage and detention charges assessed against SEA by COSCO were attributable to SEA's mismanagement of its supply chain including SEA's failure to provide adequate warehouse facilities for the timely receipt and unloading of cargo.

71. In this proceeding, and in other proceedings before the Federal Maritime Commission, commenced by SEA against other ocean carriers, SEA is attempting to recoup the demurrage, detention and other costs that have been rightfully charged to and incurred by SEA, from entities that were not legally responsible for the charges SEA incurred due to its own fault, acts and omissions or those of its CNTs.

72. SEA achieved freight rates lower than those that would otherwise have been applicable by reason of the unjust and unfair device or means of concealing its position regarding the provisions of the Service Contracts that explicitly make Samsung/SEA responsible for detention and demurrage charges resulting from SEA/its CNTs' delays until after the Service Contracts expired and Samsung and SEA had gained the benefits of its deceit, then demanding repayment of charges it had agreed to pay in the first place.

73. SEA has also sought and continues seeking lower rates or charges by demanding refunds of charges imposed on SEA pursuant to the terms of the Service Contracts, by refusing to pay lawful charges for its own failure to make timely pickup of cargo and timely return of COSCO equipment, and in demanding that COSCO waive future lawful charges. SEA, together with Samsung, has thus knowingly and willfully engaged in an unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. §41102(a) of the Shipping Act.

V. CAUSATION AND INJURY TO RESPONDENT/COUNTER-COMPLAINANT

74. COSCO repeats and realleges each of the allegations set forth above.

75. As a result of SEA's violation of 46 U.S.C. § 41102(a), COSCO has suffered actual damages of over \$4,000,000, plus interest and costs, for unpaid, lawful detention charges that SEA has refused to pay and still refuses to pay COSCO.

76. As a result of SEA's violation of 46 U.S.C. § 41102(a), COSCO has suffered additional actual damages in the approximate amount of \$32,000,000, plus interest and costs, relating to SEA's failure to pay otherwise applicable rates.

VI. REQUEST FOR ORAL HEARING

Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol Street, NW, Washington, D.C. 20573-0001.

VII. PRAYER FOR RELIEF

WHEREFORE, the Respondent/Counter-claimant COSCO respectfully requests that:

1) Judgment be entered for Respondent/Counter-claimant and that the Amended Complaint be dismissed with prejudice.

2) Counter-Respondent SEA be required to answer the charges in this Counterclaim, and that after the Commission's investigation and hearing, that the Commission shall issue an order directing SEA to cease and desist from violating 46 U.S.C. § 41102(a) of the Shipping Act, specifically from engaging in the unjust or unfair device or means it has employed to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply;

3) SEA be required to pay all damages, plus interest, incurred by COSCO as a result of the violations of the Shipping Act and Federal Maritime Commission regulations as set forth in this Counterclaim; and,

4) Respondent/Counter-claimant COSCO be granted such other and further relief, including reasonable attorneys' fees, that the FMC deems just and proper.

DATED: May 12, 2025

Respectfully submitted,

/s/ Rebecca A. Fenneman

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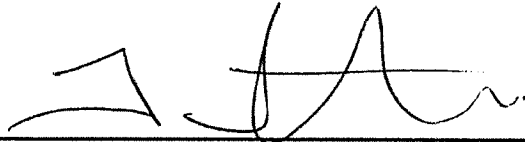
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Counsel for Respondent, COSCO Shipping Lines Co., Ltd.

VERIFICATION

I declare under penalty of perjury under the laws of the United States of America that the foregoing **Answer and Counterclaim** are true and correct to the best of my knowledge, information, and belief.

Signed:



Name

JAMES HOUGHTALIN

Title

FRONTIER VILLAGE PRESIDENT

Date

5/12/25

CERTIFICATE OF SERVICE

I certify that on the 12th day of May 2025, a true and correct copy of the foregoing **VERIFIED ANSWER AND COUNTERCLAIM** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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